

## Every Problem Is an Investment Opportunity

“Every human problem is an investment opportunity if you can anticipate the solution,” the old gentleman told me. “Except for thieves, who would buy locks?”

I just met this remarkable fellow, full of wisdom on investing, yet hardly known beyond a small group of fans. His name is Thomas Phelps, and he’s had quite a career. He was the *Wall Street Journal*’s Washington bureau chief, an editor of *Barron’s*, a partner at a brokerage firm, the head of the research department at a Fortune 500 company, and, finally, a partner at Scudder, Stevens & Clark (since bought out by Deutsche Bank).

Phelps retired in Nantucket after a varied 42-year career in markets.

Along the way, Phelps figured out a few things about investing. He conducted a fascinating study on stocks that returned \$100 for every \$1 invested. Yes, 100 to 1. Phelps found hundreds of such stocks, bunches available in any single year, that you could have bought and enjoyed a 100-to-1 return on — if you had just held on.

This was the main thrust of our conversation: the key is not only finding them, but keeping them. His basic conclusion can be summed up in the phrase “buy right and hold on.”

“Let’s face it,” he said: “a great deal of investing is on par with the instinct that makes a fish bite on an edible spinner because it is moving.” Investors too bite on what’s moving and can’t sit on a stock that isn’t going anywhere.

They also lose patience with one that is moving against them. This causes them to make a lot of trades and never enjoy truly mammoth returns.

Investors crave activity, and Wall Street is built on it. The media feeds it all, making it seem as if important things happen every day. Hundreds of millions of shares change hands every session.

But investors need to distinguish between activity and results. “When I was a boy, a carpenter working for my father made this sage observation: ‘A lot of shavings don’t make a good workman.’” As you can see, Phelps is a man of folksy wisdom.

“Investors,” Phelps continued, “have been so thoroughly sold on the nonsensical idea of measuring performance quarter by quarter — or